

# **Central Banks in Motion Amid Rising Inflationary Pressures Driven by the Iran Conflict**

*Disclaimer:*

*This document is largely based on data and articles sourced from the student version of the Reuters Terminal and may therefore contain minor inaccuracies. Sources are cited throughout; Where no citation is provided, the content reflects either personal analysis, which may be incomplete, or the broader Reuters narrative. Feedback is highly appreciated to help improve understanding and analysis.*

# Summary

|                                                                                                        |           |
|--------------------------------------------------------------------------------------------------------|-----------|
| <b>Summary .....</b>                                                                                   | <b>2</b>  |
| <b>Market Overview .....</b>                                                                           | <b>3</b>  |
|  <b>US .....</b>      | <b>4</b>  |
| <i>Major Economic Data Releases .....</i>                                                              | <i>4</i>  |
| <i>Macro Developments &amp; Key Indicators .....</i>                                                   | <i>4</i>  |
| <i>Rates Curve Movements .....</i>                                                                     | <i>5</i>  |
| <i>Trade ideas .....</i>                                                                               | <i>5</i>  |
|  <b>Canada .....</b>  | <b>6</b>  |
| <i>Major Economic Data Releases .....</i>                                                              | <i>6</i>  |
| <i>Macro Developments &amp; Key Indicators .....</i>                                                   | <i>6</i>  |
| <i>Rates Curve Movements .....</i>                                                                     | <i>6</i>  |
|  <b>EU .....</b>      | <b>7</b>  |
| <i>Major Economic Data Releases .....</i>                                                              | <i>7</i>  |
| <i>Macro Developments &amp; Key Indicators .....</i>                                                   | <i>7</i>  |
| <i>Rates Curve Movements .....</i>                                                                     | <i>7</i>  |
| <i>Trade ideas .....</i>                                                                               | <i>8</i>  |
|  <b>UK .....</b>    | <b>9</b>  |
| <i>Major Economic Data Releases .....</i>                                                              | <i>9</i>  |
| <i>Macro developments &amp; Key Indicators .....</i>                                                   | <i>9</i>  |
| <i>Rates curve movements .....</i>                                                                     | <i>9</i>  |
|  <b>Japan .....</b> | <b>10</b> |
| <i>Major Economic Data Releases .....</i>                                                              | <i>10</i> |
| <i>Macro developments &amp; Key Indicators .....</i>                                                   | <i>10</i> |
| <i>Rates curve movements .....</i>                                                                     | <i>10</i> |
| <b>Appendix .....</b>                                                                                  | <b>11</b> |

## Market Overview

This week, rates markets were once again driven by a main overarching theme: the sharp return of inflation risk amid the Iran conflict and the surge in energy prices. The ongoing closure of the Strait of Hormuz, Brent rising above \$110, followed by heightened volatility, have reignited fears of a global stagflationary shock.

In this context, major central banks have all opted to remain on hold, albeit with a clearly less accommodative bias. The Fed, ECB, BoE, BoJ and BoC all kept rates unchanged, while signaling that the persistence of the energy shock could require further monetary tightening. The common message is clear: central banks are buying time but can no longer ignore the risk that higher energy prices feed into long-term inflation expectations, wages, and underlying inflation.

Bond markets reacted accordingly, with a marked sell-off at the start and mid-week, leading to another bear-flattening of curves, before partially retracing as oil prices eased on Thursday. Volatility nevertheless remains elevated, as investors now navigate between two opposing scenarios: a de-escalation that would ease pressure on rates, and a prolonged conflict that would force central banks to maintain, or even tighten further, their stance despite slowing growth.

The week thus marks a turning point: the debate is no longer solely focused on the timing of rate cuts or hikes, but also on central banks' ability to preserve their credibility in controlling inflation in an increasingly unstable geopolitical environment.

### ➤ Major Economic Data Releases – Week of April 27

| Date     | Indicator Name        | Period | Reuters Poll | Actual    | Prior     |
|----------|-----------------------|--------|--------------|-----------|-----------|
| 28 April | Consumer Confidence   | April  | 89           | 92.8      | 91.8      |
| 29 April | Fed Rate Decision     |        | 3.5-3.75%    | 3.5-3.75% | 3.5-3.75% |
| 30 April | Core PCE MoM          | March  | 0.3%         | 0.3%      | 0.4%      |
| 30 April | Core PCE YoY          | March  | 3.2%         | 3.2%      | 3%        |
| 30 April | Core PCE MoM          | March  | 0.7%         | 0.7%      | 0.4%      |
| 30 April | Core PCE YoY          | March  | 3.5%         | 3.5%      | 2.8%      |
| 30 April | GDP Advance           | Q1     | 2.3%         | 2%        | 0.5%      |
| 1 May    | ISM Manufacturing PMI | April  | 53           | 52.7      | 52.7      |

Source: Reuters

### ➤ Macro Developments & Key Indicators

If the Fed's decision to leave its policy rates unchanged was largely anticipated by the market, it nevertheless stood out for an unusual degree of division within the FOMC. Four members dissented, something not seen for decades in an institution that had typically been highly consensus-driven under Powell. In detail, three governors supported the status quo but opposed the implicit accommodative bias, while one member voted in favor of an immediate 25 bps cut. This split highlights a deeper issue: the macro environment is not sending a clear signal.

On the one hand, inflation remains persistent, driven in part by higher energy prices linked to the Iran conflict, making a rate cut difficult to justify. On the other hand, the economy and markets are holding up well, with a resilient labor market, strong corporate earnings, and major indices at all-time highs. As a result, some policymakers fear easing too early, while others are increasingly concerned about downside risks to growth.

This division becomes even more significant with Kevin Warsh taking over as chair. He inherits a less unified Fed, complicating communication and making the path of rates more uncertain. In this context, several strategists and economists expect increased volatility in rates and broader markets, as investors must now price in a more divided and data-dependent Fed.

Finally, Powell's decision to remain on the Board after stepping down as chair marks a break from past practice. It signals a desire to safeguard the Fed's independence. Beyond monetary policy, institutional credibility itself is increasingly at stake.

The repricing of rate cuts has accelerated sharply in recent weeks, with more than two cuts priced in by the market before the outbreak of the war, compared to close to none now by year-end:

| IMPLIED RATES & BASIS POINTS |              |              |  |
|------------------------------|--------------|--------------|--|
| Meeting Date                 | Implied Rate | Basis Points |  |
| 17-Jun-2026                  | +3.621       | -2.0         |  |
| 29-Jul-2026                  | +3.613       | -2.9         |  |
| 16-Sep-2026                  | +3.602       | -3.9         |  |
| 28-Oct-2026                  | +3.603       | -3.9         |  |
| 09-Dec-2026                  | +3.620       | -2.1         |  |

From Cuts to Caution: A Sharp Repricing in Fed Funds Futures (Source: Reuters 05/03)

## ➤ **Rates Curve Movements**

- Bear flattening in the U.S. 2s10s curve (-4.5bps), driven both by this repricing toward higher rates and by relatively weak demand at the short end during auctions (benchmark 2y and 5y USTs), while the belly of the curve was better received: a 2.51 bid-to-cover ratio for the 7y UST, the highest since December.
- Slight underperformance of swaps versus cash across the curve, leading to a widening in swap spreads, with the 2y and 10y spreads wider by +0.3bps and +1.3bps respectively.
- The 2s5s10s cash fly cheapened by 2.2bps, while the 2s5s10s swap fly cheapened by 1.8bps.

## ➤ **Trade ideas** *(trade ideas below have been developed with members of the Futures program)*

The trade idea is based on the view that tensions in the Middle East are likely to stabilize over time, even if that comes with Iran maintaining some degree of control over the Strait of Hormuz following its reopening. In that context, the inflation shock is likely to prove temporary, keeping long-term inflation expectations relatively anchored, as reflected in the US 5y5y Breakeven Forward CPI around 2.4%. As a result, the 10y sector should not materially underperform the long end.

However, repeated Iranian attacks on Gulf infrastructure and the perceived lack of U.S. support could lead Gulf states to reassess the reliability of the U.S. security umbrella and gradually diversify their alliances. This would put pressure on the petrodollar recycling mechanism and, by extension, on structural demand for U.S. Treasuries.

At the same time, the long end is already facing headwinds from rising U.S. debt and increased issuance. Taken together, these factors suggest additional pressure on the 30y sector, supporting a **long 10s30s USTs steepener position**.

### ➤ Major Economic Data Releases – Week of April 27

| Date     | Indicator Name        | Period   | Reuters Poll | Actual | Prior |
|----------|-----------------------|----------|--------------|--------|-------|
| 29 April | BoC Rate Decision     |          | 2.25%        | 2.25%  | 2.25% |
| 30 April | GDP MoM               | February | 0.2%         | 0.2%   | 0.1%  |
| 1 May    | S&P Manufacturing PMI | April    |              | 53.3   | 50    |

Source: Reuters

### ➤ Macro Developments & Key Indicators

In Canada, the BoC also kept its policy rate unchanged at 2.25% (the lower bound of the Bank's estimated neutral range of 2.25%–3.25%), marking a fourth consecutive pause. It nevertheless indicated that it stands ready to act if energy-driven inflation, fueled by the conflict in Iran, were to spread to other sectors and become persistent. However, according to BNC strategists and economists, this is not their base-case scenario: the BoC has revised its CPI forecast for 2026 upward compared to January, while lowering its core CPI projection.

In addition, the Bank adjusted its short-term growth forecasts to reflect weaker than-expected results in both Q4 and Q1. It still anticipates a gradual recovery in activity despite ongoing uncertainties. According to BNC, this scenario remains consistent with future rate hikes, although the timing remains uncertain.

|     | Projection  | T4 25 | T1 26 | T2 26 | 2026 | 2027 |
|-----|-------------|-------|-------|-------|------|------|
| PIB | RPM octobre | 1,0   | -     | -     | 1,1  | 1,6  |
|     | RPM janvier | 0,0   | 1,8   | -     | 1,1  | 1,5  |
|     | RPM avril   | -0,6  | 1,5   | 1,5   | 1,2  | 1,6  |
|     | BNC/Publié  | -0,6  | 1,4   | 1,3   | 1,0  | 1,4  |
| IPC | RPM octobre | 2,0   | -     | -     | 2,1  | 2,1  |
|     | RPM janvier | 2,2   | 2,0   | -     | 2,0  | 2,1  |
|     | RPM avril   | 2,2   | 2,2   | 2,6   | 2,3  | 2,1  |
|     | BNC/Publié  | 2,2   | 2,2   | 2,7   | 2,5  | 2,0  |

  

|             | Projection  | T4 25 | T1 26 | T2 26 | T4 26 | T4 27 |
|-------------|-------------|-------|-------|-------|-------|-------|
| IPC de base | RPM octobre | 2,9   | -     | -     | 2,3   | 2,1   |
|             | RPM janvier | 2,9   | 2,5   | -     | 2,1   | 2,1   |
|             | RPM avril   | 2,8   | 2,4   | 2,1   | 2,0   | 2,2   |

BoC and BNC Projections for Real GDP Growth and CPI Inflation (Source: [Banque Nationale Canada](#))

Furthermore according to NBC, although the market now prices in only two rate hikes by year-end (down from three briefly expected a month ago) the BoC is not expected to begin its tightening cycle before 2027.

### ➤ Rates Curve Movements

- As shown in the : [Banque Nationale Canada](#) 's chart, the BoC's communication was largely seen as hawkish, driving the (cash) UST– CGB 2y spread tighter to 85bps. Likewise, the Canadian 2s10s curve flattened more than the UST 2s10s (5.3bps vs 4.5bps).
- The CGB/LGB asset swap box 0.5bps cheaper.

### ➤ Major Economic Data Releases – Week of April 27

| Date     | Indicator Name         | Period | Reuters Poll | Actual | Prior |
|----------|------------------------|--------|--------------|--------|-------|
| 29 April | Consumer Confid. Final | April  | -20.6        | -20.6  | -20.6 |
| 30 April | HICP Flash YoY         | April  | 2.9%         | 3%     | 2.6%  |
| 30 April | Core HICP Flash YoY    | April  | 2.2%         | 2.2%   | 2.3%  |
| 30 April | GDP Flash Prelim YoY   | Q1     | 0.9%         | 0.8%   | 1.2%  |
| 30 April | GDPFlash Prelim QoQ    | Q1     | 0.2%         | 0.1%   | 0.2%  |
| 30 April | Unemployment rate      | March  | 6.2%         | 6.2%   | 6.2%  |
| 30 April | ECB Deposit Rate       |        | 2%           | 2%     | 2%    |

### ➤ Macro Developments & Key Indicators

The ECB is no exception, as it has also kept its main policy rate unchanged at 2%, while indicating that it had discussed a potential rate hike to address rising inflation, driven by higher energy costs linked to the war with Iran. It also signaled that it could act as early as June, with markets already fully pricing in a hike at that meeting, unless a rapid peace agreement is reached and energy prices decline sharply.

While some economists remain skeptical about the need to raise rates (as the ECB cannot directly respond to an energy shock unless it leads to lasting second-round effects) Christine Lagarde noted that such effects are not yet visible. Inflation expectations remain stable, with the 5Y5Y breakeven forward CPI around 2.15%. Others, however, argue that “the response is about credibility: action is needed to prevent inflation expectations from becoming unanchored” (Sources: Reuters; ING economist).

Even if the ECB tightens its monetary policy, the cycle is expected to be more moderate than in 2022. Growth is close to stagnation, and the German economy could contract in the near term. The energy shock could reduce growth by around 0.5 percentage points, according to Reuters economists.

| Meeting Date | Implied Rate | Basis Points |
|--------------|--------------|--------------|
| 11-Jun-2026  | +2.1532      | +18.7600     |
| 23-Jul-2026  | +2.3545      | +38.8900     |
| 10-Sep-2026  | +2.4858      | +52.0200     |
| 29-Oct-2026  | +2.6237      | +65.8000     |
| 17-Dec-2026  | +2.6650      | +69.9300     |

€STR swaps: nearly 3 ECB rate hikes priced in by end-2026 (Source: Reuters 05/03)

### ➤ Rates Curve Movements

- Flattening of 2s30s EGB curves, with long-end outperformance: +1.3bps on the Buxl, -5.5bps on the German 2s30s.

- As with other bond curves, underperformance at the short end amid ECB rate hike repricing, despite a late-week downward revision in sympathy with the decline in oil prices: +6.8bps on the Schatz.
- Renewed widening of credit spreads in the euro area, both in the core/semi-core segment (+2.9bps on the 10y OAT-Bund spread) and especially in the periphery, with notable Italian underperformance in the belly: +3.8bps on the 10y BTP-Bund spread, reaching 83bps (vs. 63bps pre-conflict and a peak of 103bps during the conflict).
- Asset swap spreads have richened: +2.2bps on the 10y Bund-spread.

➤ **Trade ideas** (*own trade ideas*)

- 1) With Belgium's recent downgrade highlighting the gradual loss of economic momentum alongside increasing fiscal concerns, and Spain on the other hand continuing to show solid economic resilience, benefiting from relatively limited supply, strong performance in times of stress, and recent surprise buybacks. Therefore, I am bullish on Spain and bearish on Belgium: **long Spain 10Y vs short Belgium 10Y**.
- 2) I expect the ECB to remain relatively restrictive in order to prevent second-round effects on inflation and avoid repeating the mistakes made at the start of the Ukraine war. Front-end rates should therefore remain anchored at relatively high levels, with rate hikes already largely priced in by the market, making a significant repricing of expectations unlikely at this stage.

However, while a ceasefire or a more ambiguous agreement prolonging global supply disruptions remains possible, the market focus is likely to shift from inflation to growth, with risks of a much sharper slowdown. In that context, I am **long Schatz outright (or receiver in 2Y €STR swaps)** and remain **long 2s10s flatteners**.

➤ **Major Economic Data Releases – Week of April 27**

| Date   | Indicator Name             | Period | Reuters Poll | Actual | Prior |
|--------|----------------------------|--------|--------------|--------|-------|
| 30 Apr | BoE Rate Decision          |        | 3.75%        | 3.75%  | 3.75% |
| 1 May  | Nationwide house price YoY | April  | 2.2%         | 3%     | 2.2%  |
| 1 May  | S&P Manufacturing PMI      | April  | 53.6         | 53.7   | 53.6  |

➤ **Macro developments & Key Indicators**

And once again, the BoE kept its policy rate unchanged, highlighting the exceptional uncertainty stemming from the Iran conflict and acknowledging that it faces a difficult trade-off: act early to contain inflation, or wait for more evidence at the risk of tightening too late.

The BoE appears particularly exposed to the energy shock, given the UK's strong reliance on gas. The scenarios presented suggest that, in a sustained high oil price environment, inflation could exceed 6% in early 2027.

While the MPC's message remains that of an "active pause" with a hawkish bias, markets have scaled back their rate hike expectations following the meeting, with around 60bps priced by year-end in Sonia OIS. Investors see some reluctance from the BoE to move too quickly, given signs of slowing growth and a softening labour market.

Overall, the BoE is adopting a stance similar to its peers, such as the Fed and the ECB: buying time to assess the persistence of the energy shock and its second-round effects. However, its greater exposure to energy and the prospect of higher inflation make its position more challenging.

➤ **Rates curve movements**

- The high beta of short-end gilts to rising energy prices was offset this week by a dovish repricing following the BoE meeting. The 2Y gilt (+7.1bps) thus outperformed on an X-market basis, with the Gilt–UST 2Y spread tightening by 4bps.
- The UK long end, however, once again underperformed, continuing to behave as a high beta segment. This reflects concerns around the fragility of public finances, which could worsen in the event of expansionary fiscal policy aimed at supporting households in a persistently high inflation environment if needed. The 30Y gilt rose by +6.5bps, with the Gilt–UST 30Y spread widening by 1.5bps.
- Swap spreads cheapened, with the 10Y Gilt-spread narrowing by 1.4bp.

➤ **Major Economic Data Releases – Week of April 27**

| Date     | Indicator Name        | Period | Reuters Poll | Actual | Prior |
|----------|-----------------------|--------|--------------|--------|-------|
| 28 April | Unemployment rate     | March  | 2.6%         | 2.7%   | 2.6%  |
| 28 April | BoJ Rate Decision     |        | 0.75%        | 0.75%  | 0.75% |
| 1 May    | Core CPI Tokyo YoY    | April  | 1.8%         | 1.5%   | 1.7%  |
| 1 May    | CPI Tokyo YoY         | April  |              | 1.5%   | 1.7%  |
| 1 May    | S&P Manufacturing PMI | April  |              | 55.1   | 54.9  |

➤ **Macro developments & Key Indicators**

The BoJ kicked off last week's central bank cycle by keeping its policy rate unchanged at 0.75%. However, the hold came with a hawkish tilt, as three board members voted in favor of a 25bps hike, marking the highest level of dissent since 2016.

The latest projections also point to a more restrictive bias. The BoJ revised its core inflation forecasts higher while lowering its GDP growth outlook, highlighting increased fragility in the economy. This strengthens the case for a potential rate hike in the coming months should inflationary pressures persist (the market is currently pricing around 40bps of tightening by year-end via TONAR swaps, *source: Reuters 05/03*).

It is also worth noting that Japan appears particularly exposed to the global energy shock. Its heavy reliance on oil and gas imports, combined with a weak yen and rising bond yields, creates a challenging macro environment. This raises the risk of stagflation, with higher prices but limited support for growth.

Meanwhile, despite the rise in JGB yields, which recently reached multi-decade highs, the yen has continued to weaken against the dollar, prompting Japanese authorities to intervene in FX markets on Thursday.

As highlighted by Mizuho FX strategists, even though USD/JPY appeared undervalued (despite the yen's already significant weakness) the combination of higher oil prices, rising global bond yields, and equity markets near their highs was expected to put further pressure on the yen. However, the risk of FX intervention made long USD/JPY positioning less attractive.

➤ **Rates curve movements**

- 2s10s JGB curve steepening (+3.8bps)
- Japanese long-end underperformance on a cross-market basis: +6.5bps on the 30y JGB, +5.2bps on the JGB–Buxl 30y spread, +1.5bps on the JGB–UST 30y spread

## Appendix

*All figures referenced in the commentary are sourced from Reuters, primarily via the Excel file presented below, which is linked using Reuters formulas. As this is based on the student version of the Reuters Terminal, some quotations may be slightly inaccurate, particularly within the European core and semi-core segments. As a result, movements in the yield curves (2Y, 5Y, 10Y, 30Y) may occasionally appear strange.*

*Data corresponds to bid prices as of market closing on Friday, April 24 and Friday, May 1.*